Civil Resolution Tribunal

Date Issued: October 30, 2018

File: SC-2018-000509

Type: Small Claims

Civil Resolution Tribunal

Indexed as: *466096 BC Ltd. Operating as MC Freight Systems v. Vivo Brand Management, Inc.*, 2018 BCCRT 659

B E T W E E N :

466095 BC Ltd. Operating as MC Freight Systems

APPLICANT

A N D :

Vivo Brand Management, Inc.

RESPONDENT

REASONS FOR DECISION

Tribunal Member: Megan Volk

INTRODUCTION

1) This dispute is about payment of outstanding freight charges for the delivery of materials from one trade show location to another. The applicant, 466095 BC Ltd. Operating as MC Freight Systems, asks for $2,250.00 in damages, plus interest, being charge for the delivery of materials. The applicant is represented by Gillian

Davies Sall, a principal or an employee. The respondent, Vivo Brand Management, Inc., is represented by Emilee Walker, a principal or an employee.

JURISDICTION AND PROCEDURE

2) These are the formal written reasons of the Civil Resolution Tribunal (tribunal). The tribunal has jurisdiction over small claims brought under section 3.1 of the *Civil Resolution Tribunal Act* (Act). The tribunal's mandate is to provide dispute resolution services accessibly, quickly, economically, informally, and flexibly. In resolving disputes, the tribunal must apply principles of law and fairness, and recognize relationships between parties that may continue after the dispute resolution process has ended.

3) The tribunal may decide the format of the hearing, including by writing, telephone, videoconferencing, or a combination of these. Some of the evidence in this dispute amounts to a "they said, they said" scenario. Credibility of interested witnesses, particularly where there is conflict, cannot be determined solely by the test of whose personal demeanour in a courtroom or tribunal proceeding appears to be the most truthful. The assessment of what is the most likely account depends on its harmony with the rest of the evidence.

4) In the circumstances here, I find that I am able to assess and weigh the documentary evidence and submissions before me. Further, bearing in mind the tribunal's mandate that includes proportionality and a speedy resolution of disputes, I find that an oral hearing is not necessary. I also note the recent decision *Yas v. Pope*, 2018 BCSC 282 at paragraphs 32 to 38, in which the court recognized the tribunal's process and that oral hearings are not necessarily required where credibility is in issue.

5) The tribunal may accept as evidence information that it considers relevant, necessary, and appropriate, whether the information would be admissible in a court of law. The tribunal may also ask questions of the parties and witnesses and inform itself in any other way it considers appropriate.

6) Under tribunal rule 126, in resolving this dispute, the tribunal may order a party to do or stop doing something; order a party to pay money; or order any other terms or conditions the tribunal considers appropriate.

ISSUES

7) The issue in this dispute is whether the respondent must pay the applicant for freight charges.

EVIDENCE AND ANALYSIS

8) The applicant bears the burden of proof on a balance of probabilities. I have commented upon the evidence and submissions only to the extent necessary to give context to these reasons.

9) The applicant contracted to ship products to tradeshows for the respondent. An error by the applicant delayed one of the shipments. Because of the delayed shipment, the respondent cancelled all future shipments and arranged for another company to ship the products.

10) The applicant's representative says that the applicant was unable to cancel the next delivery because it was a holiday and the carrier was unreachable. The respondent says that the applicant confirmed the cancellations. I agree. The applicant confirmed the cancellation of all future shipments, including the next delivery, by email. There is no evidence before me that the applicant told the respondent that the next delivery could not be cancelled.

11) The day after the cancellation, the respondent's cargo was loaded with the applicant's carrier incorrectly. The driver then left the tradeshow. Since the driver left and the applicant later noted that the carrier was unreachable to cancel, I find that the driver knew or ought to have known that the respondent's cargo was on the truck when leaving the tradeshow. I find the applicant's carrier did not have authority to receive the shipment and should not have left with it.

12) The day after the loading error, the applicant emailed the respondent explaining the error. After the respondent was told of the error, there was a period of time when it was unclear whether the shipment was loaded in error or whether the respondent's new shipping company was using the same driver. Eventually the respondent's new shipping company confirmed that the cargo had not been at the dock for pick up that morning.

13) The applicant also said that they would provide an address where the cargo could be collected. Over the next few hours the respondent asked three times for the location of the cargo. Unfortunately, the applicant was having trouble getting information from their carrier because it was a holiday. After waiting more than 12 hours the respondent advised the applicant that there was no longer time to re-route the shipment. The respondent asked, because of the time sensitive nature of the shipment, if the applicant could deliver the shipment to its intended location.

14) The respondent does not dispute that the shipment was received. Following receipt of the cargo, the applicant sent an invoice for the freight charges totaling $2,250.00. The respondent refused to pay the freight charges because the applicant's contract for the shipment had been cancelled. The applicant's representative says that the respondent agreed to continue with the shipment and to pay the freight. While this may be what the applicant expected, there is insufficient evidence before me that the respondent agreed to pay for the freight charges.

15) As previously stated, the burden of proof in this case is on the applicant. I find that the applicant's evidence does not prove the facts necessary for the respondent to pay the freight charges. My further reasons follow.

16) There is insufficient evidence of a contractual agreement between the parties, given the agreed cancellation of the shipment. The evidence shows the respondent asked if the material could be delivered to the next trade show but there is no evidence of a response or evidence of any terms agreed to by the parties. There is no bill of lading, delivery order or other document showing the

understanding between the parties. There is no dispute that the shipment was delivered but that alone is insufficient evidence of the contractual agreement, particularly given the applicant's error in picking up the shipment.

17) The respondent has provided an invoice but it is not evidence of a contract. Additionally, the absence of expected terms on the invoice supports the conclusion that there was no agreement for freight charges after the applicant picked up the goods in error. There is no date for the shipment charged and no description about what the invoice relates to other than that the charges are for "discounted freight as listed." Despite these words, there is no itemization of freight on the invoice. The invoice references a credit limit but no credit documents have been provided to show an agreement between the parties.

18) On the facts before me, I am unable to find that acceptance of the delivery by the respondent shows an implied contract with the applicant to pay the freight charges. The applicant lost track of the respondent's time sensitive freight and was unable to communicate with their carrier, for some time, to stop the transport. This created a situation where the respondent could not re-route their shipment without suffering damages. The respondent advised the applicant of this situation and essentially asked the applicant not to stop the carrier from completing the delivery that the carrier started in error in order to stop the applicant from causing the respondent damages.

19) Further, once the material was delivered and released without conditions to the respondent the applicant's right to hold the property awaiting payment ended. There is no evidence before me of any conditions of release.

20) I dismiss the applicant's claims.

21) As the applicant was unsuccessful I also dismiss their claim for reimbursement of tribunal fees.

ORDER

22) I dismiss the applicant's claims and therefore this dispute.

Megan Volk , Tribunal Member